

UNAUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES

I	STATEMENT OF FINANCIAL POSITION AS AT 31 MARCH 2017	31.03.2016	Bank	31.03.2017	Group Consolidated		
		UnAudited (Ksh'000)	31.12.2016 Audited (Ksh'000)	UnAudited (Ksh'000)	31.12.2016 UnAudited (Ksh'000)	31.12.2016 Audited (Ksh'000)	31.03.2017 UnAudited (Ksh'000)
A. ASSETS							
1	Cash balances (both local and foreign)	300,007	477,037	416,788	300,007	477,117	416,908
2	Balances due from Central Bank of Kenya	3,319,657	2,895,246	3,328,988	3,319,657	2,895,246	3,328,988
3	Kenya Government and other securities held for dealing purposes	-	-	-	-	-	-
4	Financial Assets at fair value through profit and loss	-	-	-	-	-	-
5	Investment Securities:	-	-	-	-	-	-
	a) Held to Maturity:	3,374,489	3,556,805	3,090,978	3,374,489	3,556,805	3,090,978
	a. Kenya Government securities	3,374,489	3,556,805	3,090,978	3,374,489	3,556,805	3,090,978
	b. Other securities	-	-	-	-	-	-
	b) Available for sale:	792,947	528,745	1,158,749	792,947	528,745	1,158,749
	a. Kenya Government securities	792,947	528,745	1,158,749	792,947	528,745	1,158,749
	b. Other securities	-	-	-	-	-	-
6	Deposits and balances due from local banking institutions	3,499,314	1,616	46,191	3,499,314	1,616	46,191
7	Deposits and balances due from banking institutions abroad	319,858	1,657,496	786,052	319,858	1,657,496	786,052
8	Tax recoverable	-	37,071	-	3,492	86,911	51,414
9	Loans and advances to customers (net)	53,446,774	54,469,605	54,598,316	53,446,774	54,469,605	54,598,316
10	Balances due from banking institutions in the group	-	-	-	-	-	-
11	Investments in associates	-	-	-	-	-	-
12	Investments in subsidiary companies	-	-	-	-	-	-
13	Investment in Joint ventures	255,561	274,498	274,498	1,178,481	1,280,110	1,280,110
14	Investment properties	-	-	-	1,183,148	2,000,304	1,544,231
15	Property and equipment	1,148,448	1,454,535	1,431,741	1,151,088	1,458,087	1,435,212
16	Prepaid operating lease rentals	39,360	38,937	38,821	45,161	44,751	44,590
17	Intangible assets	1,073,435	1,212,199	1,179,225	1,073,939	1,212,626	1,179,595
18	Deferred tax asset	564,872	751,368	750,593	556,307	756,234	755,459
19	Retirement benefit asset	-	-	-	-	-	-
20	Other assets	987,510	729,772	885,434	1,980,586	1,504,487	2,190,135
21	TOTAL ASSETS	69,122,232	68,084,930	67,986,372	72,225,248	71,930,140	71,906,926
B. LIABILITIES							
22	Balances due to Central Bank of Kenya	-	-	-	-	-	-
23	Customer deposits	41,059,849	38,155,860	38,352,686	40,867,229	38,082,325	38,257,115
24	Deposits and balances due to local banking institutions	-	624,701	75,207	-	624,701	75,207
25	Deposits and balances due to foreign banking institutions	-	-	-	-	-	-
26	Other money market deposits	-	-	-	-	-	-
27	Borrowed funds	17,447,571	18,789,686	18,700,572	18,698,351	19,736,615	20,591,184
28	Balances due to banking institutions in the group	-	-	-	-	-	-
29	Tax payable	143,719	-	3,537	244,861	4	3,541
30	Dividends payable	-	-	-	63,916	60,755	53,918
31	Deferred tax liability	-	-	-	43	-	-
32	Retirement benefit liability	-	-	-	-	-	-
33	Other liabilities	1,026,125	739,713	982,837	1,354,107	2,136,478	1,545,952
34	TOTAL LIABILITIES	59,677,444	58,309,960	58,114,839	61,228,507	60,640,878	60,526,916
C. SHAREHOLDERS' FUNDS							
35	Paid up /Assigned capital	5,000,000	5,000,000	5,000,000	1,744,483	1,746,908	1,747,208
36	Share premium/(discount)	3,513,662	3,513,662	3,513,662	4,339,712	4,342,137	4,342,437
37	Revaluation reserves	-	-	-	701,463	701,463	701,463
38	Retained earnings/Accumulated losses	60,176	806,719	923,209	3,438,606	3,895,716	4,005,790
39	Statutory loan loss reserves	506,940	453,487	431,751	506,940	453,487	431,751
40	Other Reserves	13,260	(49,648)	(47,838)	(11,996)	(75,890)	(74,081)
41	Proposed dividends	300,000	-	-	226,783	174,691	174,691
42	Capital grants	50,750	50,750	50,750	50,750	50,750	50,750
43	TOTAL SHAREHOLDERS' FUNDS	9,444,788	9,774,970	9,871,533	10,996,741	11,289,262	11,380,009
44	TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	69,122,232	68,084,930	67,986,372	72,225,248	71,930,140	71,906,926

II	STATEMENT OF COMPREHENSIVE INCOME FOR THE PERIOD ENDED 31 MARCH 2017	31.03.2016	Bank	31.03.2017	Group Consolidated		
		UnAudited (Ksh'000)	31.12.2016 Audited (Ksh'000)	UnAudited (Ksh'000)	31.12.2016 UnAudited (Ksh'000)	31.12.2016 Audited (Ksh'000)	31.03.2017 UnAudited (Ksh'000)
1	INTEREST INCOME						
1.1	Loans and advances	2,071,150	7,889,464	1,727,777	2,071,150	7,889,838	1,727,777
1.2	Government securities	99,756	503,578	118,864	99,756	503,578	118,864
1.3	Deposits and placements with banking institutions	129,946	214,083	3,416	129,951	214,083	3,416
1.4	Other Interest Income	-	-	-	-	-	-
1.5	Total interest income	2,300,852	8,607,125	1,850,057	2,300,857	8,607,499	1,850,057
2	INTEREST EXPENSES						
2.1	Customer deposits	891,859	2,940,117	570,413	890,222	2,937,487	570,324
2.2	Deposits and placement from banking institutions	-	1,932	29,908	-	1,932	29,908
2.3	Other interest expenses	408,882	1,701,706	438,189	408,882	1,733,965	452,221
2.4	Total interest expenses	1,300,741	4,643,755	1,038,510	1,299,104	4,673,384	1,052,453
3	NET INTEREST INCOME/(LOSS)	1,000,111	3,963,370	811,548	1,001,753	3,934,115	797,605
4	OTHER OPERATING INCOME						
4.1	Fees and commissions on loans and advances	43,014	148,782	18,366	43,014	148,781	18,366
4.2	Other fees and commissions	36,281	118,823	29,462	73,977	172,452	34,098
4.3	Foreign exchange trading income/(Loss)	(7,863)	3,913	24,134	(7,863)	3,913	24,134
4.4	Dividend Income	-	-	-	-	-	-
4.5	Other income	51,797	88,592	15,043	132,683	430,403	96,251
4.6	Total Non-Interest income	123,229	360,110	87,005	241,811	755,549	172,849
5	TOTAL OPERATING INCOME	1,123,340	4,323,480	898,553	1,243,564	4,689,664	970,453
6	OPERATING EXPENSES						
6.1	Loan loss provision	136,895	699,166	200,749	136,895	699,166	200,749
6.2	Staff costs	235,282	787,235	208,843	248,757	1,071,976	266,851
6.3	Directors' emoluments	1,105	19,153	4,042	1,105	21,577	5,831
6.4	Rental charges	19,346	99,042	26,482	19,346	99,042	26,482
6.5	Depreciation charge on property and equipment	29,759	151,502	39,024	29,838	154,043	39,184
6.6	Amortisation charges	62,555	172,497	43,566	62,562	172,583	43,587
6.7	Other operating expenses	198,181	949,534	240,485	274,599	1,123,397	258,378
6.8	Total Other Operating Expenses	683,123	2,878,129	763,190	773,102	3,341,784	841,063
7	Profit/(loss) before tax and exceptional items	440,217	1,445,351	135,363	470,462	1,347,880	129,390
8	Exceptional items	-	18,937	-	-	17,773	-
9	Profit/(loss) after exceptional items	440,217	1,464,288	135,363	470,462	1,365,653	129,390
10	Current tax	(132,065)	(622,579)	(40,609)	(143,046)	(632,796)	(41,052)
11	Deferred tax	-	159,534	-	-	172,972	-
12	Profit/(loss) after tax and exceptional items	308,152	1,001,243	94,754	327,416	905,829	88,338
13	Other Comprehensive Income						
13.1	Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-	-	-
13.2	Fair value changes in available for sale financial assets	66,689	(23,184)	2,585	66,689	(24,167)	2,585
13.3	Revaluation surplus on Property, plant and equipment	-	-	-	-	-	-
13.4	Share of other comprehensive income of associates	-	-	-	-	-	-
13.5	Income tax relating to components of other comprehensive income	(20,007)	6,955	(776)	(20,007)	6,955	(776)
14	Other Comprehensive Income for the year net of tax	46,682	(16,229)	1,810	46,682	(17,212)	1,810
15	Total comprehensive income for the year	354,834	985,014	96,563	374,098	888,617	90,148
	Earnings per share	-	200.25	75.80	-	3.75	1.01
	Dividend per share	-	60.00	-	-	0.50	-

III	DISCLOSURES AS AT 31 MARCH 2017	31.03.2016	Bank	31.03.2017	Group Consolidated		
		UnAudited (Ksh'000)	31.12.2016 Audited (Ksh'000)	UnAudited (Ksh'000)	31.03.2016 UnAudited (Ksh'000)	31.12.2016 Audited (Ksh'000)	31.03.2017 UnAudited (Ksh'000)
1	Non-Performing Loans and Advances						
a)	Gross non-performing loans and advances	4,523,977	6,193,462	7,783,590	4,523,977	6,193,462	7,783,590
b)	Less: Interest in Suspense	622,128	1,017,611	1,113,363	622,128	1,017,611	1,113,363
c)	Total non-Performing loans and advances (a-b)	3,901,849	5,175,851	6,670,227	3,901,849	5,175,851	6,670,227
d)	Less: Loan loss provisions	1,176,480	1,298,340	1,436,766	1,176,480	1,298,340	1,436,766
e)	Net non-performing loans and advances(c-d)	2,725,369	3,877,511	5,233,461	2,725,369	3,877,511	5,233,461
f)	Discounted value of securities	2,725,369	3,877,511	5,233,461	2,725,369	3,877,511	5,233,461
g)	Net Exposure(e-f)	-	-	-	-	-	-
2	Insider loans and advances						
a)	Directors, shareholders and associates	716,632	582,265	643,497	716,632	582,265	643,497
b)	Employees	1,044,560	1,139,934	1,066,288	1,044,560	1,139,934	1,066,288
c)	Total insider Loans and Advances	1,761,192	1,722,199	1,709,784	1,761,192	1,722,199	1,709,784
3	Off-Balance Sheet items						
a)	Letters of credit, guarantees and acceptances	258,720	1,052,829	657,971	258,720	1,052,829	657,971
b)	Forwards, swaps and options	-	399,750	397,128	-	399,750	397,128
c)	Other contingent liabilities	-	-	-	-	-	-
d)	Total contingent liabilities	258,720	1,452,579	1,055,099	258,720	1,452,579	1,055,099
4	Capital Strength						
a)	Core capital	7,854,891	8,519,365	8,591,063	7,854,891	8,519,365	8,591,063
b)	Minimum Statutory Capital	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000
c)	Excess/Deficiency	6,854,891	7,519,365	7,591,063	6,854,891	7,519,365	7,591,063
d)	Supplementary capital	1,484,727	1,060,468	915,130	1,484,727	1,060,468	915,130
e)	Total capital (a+d)	9,339,618	9,579,833	9,506,193	9,339,618	9,579,833	9,506,193
f)	Total risk weighted assets	53,743,238	54,161,313	54,896,415	53,743,238	54,161,313	54,896,415
g)	Core capital /Total deposit liabilities	19.13%	21.97%	22.36%	19.13%	21.97%	22.36%
h)	Minimum Statutory Ratio	8.00%	8.00%	8.00%	8.00%	8.00%	8.00%
i)	Excess/Deficiency	11.13%	13.97%	14.36%	11.13%	13.97%	14.36%
j)	Core capital /Total risk weighted assets	14.62%	15.73%	15.65%	14.62%	15.73%	15.65%
k)	Minimum Statutory Ratio	10.50%	10.50%	10.50%	10.50%	10.50%	10.50%
l)	Excess/Deficiency (j-k)	4.12%	5.23%	5.15%	4.12%	5.23%	5.15%
m)	Total capital /Total risk weighted assets	17.38%	17.69%	17.32%	17.38%	17.69%	17.32%
n)	Minimum Statutory Ratio	14.50%	14.50%	14.50%	14.50%	14.50%	14.50%
o)	Excess/Deficiency (m-n)	2.88%	3.19%	2.82%	2.88%	3.19%	2.82%
5	Liquidity						
a)	Liquidity Ratio	26.85%	21.05%	21.40%	26.85%	21.05%	21.40%
b)	Minimum Statutory Ratio	20.00%	20.00%	20.00%	20.00%	20.00%	20.00%
c)	Excess(Deficiency) (a-b)	6.85%	1.05%	1.30%	6.85%	1.05%	1.30%